£P 16.3 million ($65 million), while the irrigation of 437,500 acres would cost about £P 28.8 million ($115 million).* In both cases, water could be sold economically for a maximum of £P 2.8 ($11.20) per 1,000 cubic meters.

Fuel and power could also be supplied at costs competitive with those prevailing in all but the most favorably situated regions of the world. Her location at the refining and shipping terminus of the Iraq petroleum pipeline gives Palestine a position to enjoy low fuel costs. However, at present her fuel costs are very high, due to the tender regard of successive British governments for the profits of the petroleum monopolists. This monopoly stranglehold is not a fact of nature and can presumably be broken, in time, to Palestine's great economic advantage.

Moreover, in connection with such expansion of irrigation as may ultimately be required, some 228,000 KW of hydroelectric power could be developed in Palestine and on the Litani within a few miles of the Palestine border. Preliminary studies place the capital cost (including transmission and distribution (facilities) at very roughly £P 41 million ($164 million) and suggest that the resulting electric power could be sold wholesale at about 1.0 U.S. cent (2.5 Palestine mils) per KWH. This rate would be about 20 percent lower than the price charged by TVA to municipalities and cooperatives, though it is higher than TVA's price to large industrial users.

With respect to other natural resources, while Palestine has an average endowment, she is dependent primarily -- like any other area of 10,400 square miles -- on imports. There is no reason to believe that access to the requisite imports will be a major limiting factor in her economic growth. She is developing an industry based on skills and special regional market opportunities. For such an industry, possession of local sources of metals and minerals is not of decisive importance.

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*These capital costs exclude installations in the fields, costing about £P 9.8 million for 325,000 acres and about £P 13.1 million for 437,500 acres; field installation costs are included below in the cost of equipping agriculture.